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BACKGROUND

On

February 17, 2026, Plaintiff Deutsche Bank National Trust Company As Trustee For American Home Mortgage Assets Trust 2007-1 Mortgage-backed Pass Through Certificates Series 2007-1, a national banking association ("Plaintiff") commenced this action against Defendants Mark Prebe ("Defendant"), Directconnect Legal Solutions, Inc., and Trina Patterson, seeking declaratory relief and cancellation of instrument.

On April 30, 2026, Defendant filed the instant demurrer.

On June 5, 2026, Plaintiff filed an opposition.

On June 10, 2026, Defendant filed a reply.

On June 11, 2026, Defendant filed a supplemental request for judicial notice.

DISCUSSION

Applicable
Law

Code of Civil Procedure ("CCP") section 430.10
subdivision (e) is grounds for a demurrer when the complaint fails to state

facts sufficient to constitute a cause of action. CCP § 430.10(f) is grounds for a demurrer when the complaint is uncertain (vague and ambiguous). For purposes of ruling on a demurrer, material facts properly pleaded in the complaint must be taken as true. (*Serrano v. Priest* (1971) 5 Cal.3d 584, 491.)

A demurrer may challenge only defects that appear on the face of the pleading or from matters which are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 31; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994; California Practice Guide, Civil Procedure Before Trial, ¶7:8 (The Rutter Group 2024).)

The function of a demurrer is to test the legal sufficiency of a complaint, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co.*, supra, 116 Cal.App.4th at 994; *Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388; *SJJCA Aviation Services, LLC v. City of San Jose* (2017) 12 Cal.App.5th 1043, 1051-1052; California Practice Guide, Civil Procedure Before Trial, ¶7:5 (The Rutter Group 2024).) Demurrers are to be sustained where a pleading fails to plead adequately any essential element of the cause of action. (*Cantu v. Resolution Trust Corp.* (1992) 4 Cal.App.4th 857, 879-80.)

“A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed (Code Civ. Proc., §§ 430.30, 430.70). The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; *Accord McKenney v. Purepac Pharmaceutical Co.* (2008) 162 Cal.App.4th 72, 79.) When considering demurrers, courts read the allegations liberally and in context. (*McKenney*, supra, 167 Cal.App.4th at 77; *Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228.)

“If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

Preliminary

Matters

A.

Judicial Notice

i.

Defendant's Request for Judicial Notice

Defendant asks the Court to take
judicial notice of the following:

1.

Deed of Trust, dated October 25, 2006,
recorded November 6, 2006 as Instrument No. 062455917 in the Official Records
of the Los Angeles County Recorder's Office

Defendant

argues that the Deed of Trust is an official record of the Los Angeles County
Recorder's Office which is subject to judicial notice as "records of any court
of this state" under Evidence Code § 452(d).

Plaintiff makes no objection.

This request is GRANTED.

2.

Pooling and Servicing Agreement (PSA) for
American Home Mortgage Assets Trust 2007-1 Mortgage-Backed Pass Through
Certificates Series 2007-1, dated February 1, 2007 (SEC Filing Accession No.
0000882377-07-000360)

Defendant argues that the Pooling and

Servicing Agreement ("PSA") is a publicly filed document with the U.S.
Securities and Exchange Commission (SEC), and SEC filings are "facts and
propositions that are not reasonably subject to dispute and are capable of
immediate and accurate determination by resort to sources of reasonably
indisputable accuracy" under Evidence Code § 452(h) per *People v. W.R. Grace
& Co.* (2013) Cal.App.4th 1079,1085-1086. Defendant contends that the
Complaint repeatedly references Plaintiff's role "as trustee" under the PSA,
making the PSA central to Plaintiff's alleged authority to sue.

Plaintiff

objects to judicial notice of Exhibit "B" to the extent Defendant offers it for any purpose beyond the narrow fact that such a document exists and contains certain language. Plaintiff argues that the demurrer and RJN seek to use the PSA to "prove" contested merits issues that cannot be established via judicial notice such as disputed propositions about chain of-title, transfer timing, and the legal effect of alleged noncompliance with PSA terms (including "closing date" arguments).

Here,

Defendant's request is GRANTED only as to the existence of the PSA but not to prove the truth of any matters asserted therein.

3.

Records of the California Department of Financial Protection and Innovation (DFPI) formerly the Department of Corporations, showing the licensure status of BNE DBA The Odyssey Group as of October 25, 2006

Defendant contends that the Department of Financial Protection & Innovation ("DFPI") is a public entity within the meaning of Evidence Code § 452(c), and its official records of licensure constitute "official acts" subject to judicial notice. Defendant further argues that these records qualify as "facts and propositions that are not reasonably subject to dispute" under Evidence Code § 452(h), as agency licensing databases are routinely subject to judicial notice.

Plaintiff

contends that Defendant appears to offer DFPI search "no results" screenshots as proof that a particular entity was unlicensed at a particular historical point in time, and then to bootstrap that into the legal conclusion that the underlying loan is void. Defendant argues that this is precisely the sort of disputed factual proposition that courts caution against establishing via judicial notice.

Here,

the Court agrees with Plaintiff that these screenshots showing "no search results" are reasonably subject to dispute and not appropriate for judicial notice. Thus, this request is DENIED.

4.

MERS Membership Manual, Section 2.8 (2025),
stating “(1) The MERS® System is not a mechanism for creating or transferring
liens or interests in mortgage loans, and (2) MERS® System membership or a
Member’s use of the MERS® System shall not modify or supersede any agreement
between or among the Members and/or any other parties having liens or interests
in mortgage loans registered on the MERS® System.”

Defendant

argues that the MERS Membership Manual is a publicly available document
published by MERS, Inc., and the fact that Section 2.8 contains the quoted
language is “not reasonably subject to dispute” because any person can access
the manual and verify the language.

Plaintiff

objects on the basis that Defendant seeks to use a privately published MERS
manual excerpt to establish broad propositions about lien creation/transfer and
to argue that recorded assignments are “void,” which are contested legal
conclusions and transaction-specific questions that cannot be established by
judicial notice. Plaintiff further argues that even if Defendant claims the
manual is publicly accessible, Defendant is not offering it merely to show it
exists but rather for the truth of disputed propositions and legal conclusions
about authority and effect.

Here,

the Court agrees with Plaintiff that the excerpt is dated 2025 and is offered
to construe a 2006 deed of trust and 2009 assignments, such that the inference
Defendant seeks is disputable and not an appropriate matter for judicial
notice. Defendant’s request is GRANTED only as to the existence of the MERS
Manual, but not to prove the truth of any matters asserted therein.

5.

Glaski v. Bank of America, N.A. (2013) 218
Cal.App.4th 1079, 1095. Transfers of assets to a securitized trust after its
closing date is void

Here, judicial notice of a published
case is not necessary as Defendant can instead cite to it. This request is
DENIED.

6.

Form 15 – Certificate and Notice of

Termination of Registration under Section 12(g) of the Securities Exchange Act of 1934, filed by American Home Mortgage Assets Trust 2007-1 showing the trust's closing date of January 26, 2007, and termination of reporting obligations

Defendant argues that the Form 15 is a publicly filed document with the SEC which establishes two critical facts: (1) the trust's closing date was January 26, 2007, and (2) the trust terminated its registration under Section 12(g) of the Securities Exchange Act of 1934, meaning it is no longer an active, publicly reporting entity.

Plaintiff argues that Defendant's stated purpose is to use Form 15 to "establish" facts such as the trust's closing date and broader "termination" implications, and then argue dispositive consequences for Plaintiff's rights, which is an improper use of judicial notice to establish contested inferences and legal conclusions on demurrer.

Here,

Defendant's request is GRANTED as to the existence of form 15 and the closing date therein, but not for the truth of any matters asserted therein.

7.

Assignment of Deed of Trust, executed July 2009, recorded July 14, 2009 as Instrument No. 20091056662 in the Official Records of the Los Angeles County Recorder's Office, from Mortgage Electronic Registration Systems, Inc. as nominee for BNE DBA The Odycey Group to American Home Mortgage Servicing, Inc., as successor-ininterest to Option One Mortgage Corporation, purporting to assign the Deed of Trust to Deutsche Bank National Trust Company as Trustee for American Home Mortgage Assets Trust 2007-1

Plaintiff has no objection. This request is GRANTED as a public record.

ii.

Plaintiff's Request for Judicial Notice

Plaintiff requests judicial notice

of various recorded deeds of trust and assignments of deeds of trust, a recorded substitution of trustee, and a recorded full conveyance (RJN Nos. 1-7) which are GRANTED as public records properly subject to judicial notice.

Plaintiff also requests judicial notice of various filings in Los Angeles County Superior Court, California Court of Appeal, and California Supreme Court (RJN Nos. 8-16), which are GRANTED as Court records properly subject to judicial notice.

iii.

Defendant's Supplemental Request for Judicial Notice

After filing his reply, Defendant filed a supplemental request for judicial notice of "Desist and Refrain Orders for Violations of California Financial Code §§ 23005 and 22100 Pursuant to California Financial Code §§ 23050 and 22712; and Order Voiding Transactions Pursuant to California Financial Code §§ 23060 and 22750, issued by the California Department of Financial Protection and Innovation) on January 18, 2012, in the matter of Iliana Moran, d.b.a. A-1 Check Cashing." Defendant contends that the California Department of Corporations (now the Department of Financial Protection and Innovation) is an executive department of the State of California, whose official orders are "official acts" subject to judicial notice under Evidence Code § 452(c). There being no objection from Plaintiff, this request is GRANTED as to the existence of the record, but not as to the truth of any matters asserted therein.

Analysis

The Complaint alleges as follows:

Defendant Prebe executed a deed of trust recorded against the Property. (Compl., ¶ 10; RJN, Ex. 1.) Plaintiff is the recorded beneficiary under the deed of trust from at least January 15, 2010 through the present. (Compl., ¶ 13, 19.) Plaintiff recorded a substitution of trustee on September 23, 2016 naming Western Progressive, LLC as trustee. (Compl., ¶ 15; RJN, Ex. 6.) No subsequent substitution of trustee was recorded. (Compl., ¶ 16, 21.) Nonetheless, on April 22, 2024, DirectConnect recorded a "Full Reconveyance" executed by Trina Patterson, claiming DirectConnect was "Trustee under" the deed of trust and purporting to reconvey the Property free of Plaintiff's lien. (Compl., ¶ 22; RJN Ex. 7.) The reconveyance was not authorized by Plaintiff,

not executed by the duly appointed trustee (Western Progressive), not supported by satisfaction of the debt, and was false/fraudulent. (Compl., ¶¶ 22-27.)

B. Lack

of Legal Capacity to Sue (Code of Civil Procedure § 430.10(b))

First,

Defendant argues that Plaintiff,

acting solely as trustee of a securitized trust, lacks the legal capacity to sue as a real party in interest or in a representative capacity under California Code of Civil Procedure section 367 (“[e]very action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute” because it does not own the property that is the subject of this action and lacks standing to bring the claims asserted. (Mot., pp. 2, 4.) Defendant contends that for a trustee of a New York common-law trust to have standing to sue in California, it must have had the trust assets properly transferred to the trust before the trust’s closing date, and Plaintiff’s complaint does not allege that the Deed of Trust was ever properly transferred into the “American Home Mortgage Assets Trust 2007-1” before its closing date. (Id. at p. 4.) Defendant cites to *Glaski v. Bank of America, N.A.* (2013) 218 Cal.App.4th 1079, 1095 which held that a borrower may challenge the securitized trust’s chain of ownership by alleging that attempts to transfer the deed of trust to the trust occurred after the trust’s closing date. (Ibid.)

Plaintiff argues that Defendant’s

theory improperly converts a PSA timing allegation into a pleading prerequisite and then relies on *Glaski* to deem any post-closing date transfer “void,” but *Glaski* is a minority view on New York-law securitization trusts that has since been overwhelmingly rejected in New York and California. (Opp., p. 7.) Plaintiff asserts that under New York law, alleged noncompliance with PSA timing or transfer formalities is an act that is at most voidable, not void, and borrowers, as strangers to the PSA and trust, lack standing to litigate those issues, citing a long string of cases declining to follow *Glaski*. (Id. at p. 8.)

Plaintiff also argues that

Defendant’s loan-validity and beneficiary-authority theories have already been litigated and rejected in Defendant’s prior actions against Deutsche Bank (and its servicer). (Opp., p. 4.) In the first action, Defendant sought an order

declaring the debt paid/invalid, compelling reconveyance, and related relief; the court sustained Deutsche Bank's demurrer without leave to amend, and the dismissal was affirmed on appeal. (RJN, Exs. 8–14.) Defendant then filed a second action again challenging Deutsche Bank's rights under the deed of trust, and the court again sustained Deutsche Bank's demurrer without leave to amend. (RJN, Exs. 15–16.)

Plaintiff further argues that even apart from preclusion, California courts have repeatedly rejected the same MERS/nominee and chain-of-title attacks Defendant repackages here. (Opp., p. 5.) "Where, as reflected in the recorded deed of trust and assignments, MERS is designated as nominee for the lender and its successors and assigns, challenges to MERS's authority and the resulting chain of title fail at the pleading stage. (*Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149; *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256; *Herrera v. Fed. Nat'l Mortg. Ass'n* (2012) 205 Cal.App.4th 1495; *Siliga v. Mortg. Elec. Registration Sys., Inc.* (2013) 219 Cal.App.4th 75.)" (Ibid.)

In reply, Defendant argues that *Glaski* is still good law because while the California Supreme Court in *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919 acknowledged the conflict in *Glaski*, it expressly declined to resolve it by deciding whether a post-closing date transfer is void or merely voidable. (Reply, p. 5.)

Here, on the face of the Complaint, Plaintiff has standing to sue Defendant. Defendant fails to establish that Plaintiff was required to plead PSA compliance, and the trust's closing date, to state claims for cancellation of instruments and declaratory relief arising from Defendant's alleged recording of a fraudulent reconveyance by a non-trustee.

While Defendant argues that any transfer after the PSA closing date would be void per *Glaski*, this proposition was rejected by numerous Courts. (*Kalnoki v. First Am. Tr. Servicing Sols., LLC* (2017) 8 Cal.App.5th 23, 43, internal citations omitted ["the [*Glaski*] holding was at odds with numerous decisions finding that a plaintiff lacks standing to challenge the validity of the securitization process because any alleged irregularities merely render such an assignment voidable not void. The trial court decision upon which *Glaski* relied has also since been overturned. We decline to follow *Glaski* and instead conclude that an assignment to a securitized trust made after the trust's closing date is merely voidable"]; *Saterbak*

v. JPMorgan Chase Bank, N.A. (2016) 245 Cal.App.4th 808, 815 [Yvanova expressly offers no opinion as to whether, under New

York law, an untimely assignment to a securitized trust made after the trust's closing date is void or merely voidable. We conclude such an assignment is merely voidable]; Rajamin v. Deutsche Bank Nat. Tr. Co. (2014) 757 F.3d 79, 90 ["most courts in other jurisdictions discussing that section have interpreted New York law to mean that 'a transfer into a trust that violates the terms of a PSA is voidable rather than void' . . . In sum, we conclude that as unauthorized acts of a trustee may be ratified by the trust's beneficiaries, such acts are not void but voidable"].)

Thus, Defendant's demurrer is OVERRULED on this ground.

C. Failure to State a Cause of Action – All Causes of Action

Next, Defendant argues that each of Plaintiff's purported causes of action fails to state facts sufficient to constitute a valid claim for relief because the subject underlying loan documents, which includes the Note and Deed of Trust, are void ab initio due to Plaintiff's predecessor-in-interest having made a residential loan without the license required under the California Financing Law. (Demurrer, p. 2.)

Plaintiff contends that Defendant's arguments that the loan is void due to licensing issues and that MERS lacked authority depend on extrinsic facts and contested legal conclusions that are not apparent on the face of the Complaint. (Opposition, p. 8.) Plaintiff further points to Brack v. Omni Loan Co., Ltd. (2008) 164 Cal.App.4th 1312, which discusses § 22750's remedy for willful licensing violations in the context of a choice of law analysis, but it does not authorize demurrer-stage forfeiture. (Ibid.) Plaintiff also cites Wilson v. Steele (1989) 211 Cal.App.3d 1053 for the proposition that enforceability questions in illegality/voidness scenarios depend on factual findings, which cannot be resolved on demurrer. (Ibid.)

Here, Defendant's licensure theory rests on a denied request for judicial notice of a screenshot and a conclusory statement that "upon information and belief" the original lender was not licensed. Further, as Plaintiff points out, "Defendant relies on the alleged

absence of the original lender from the DFPI's list of current licensees as evidence the original lender was unlicensed, but whether an entity appears as a licensee today is irrelevant and says nothing about the lender's status in 2006." (Opp., p. 8.) This issue is not properly decided at the pleadings stage.

Thus,

Defendant's demurrer is OVERRULED on this ground.

D. Failure

to State a Cause of Action – The Reconveyance Was Proper

Next,

Defendant argues that Plaintiff

has failed to state a claim that the Full Reconveyance recorded by Defendant was improper, as Defendant had every right to cause said reconveyance to be recorded after Plaintiff failed to respond to proper pre-litigation notices, as required by California Civil Code section 2941 and equitable principles. (Demurrer, p. 2.)

Here, Defendant again asks this

Court to adjudicate a factual dispute as to whether the Full Reconveyance recorded by Defendant was actually improper or not. At this stage, it matters only that the Complaint adequately alleges that the reconveyance was improper. Such allegations are sufficiently pled as follows: On April 22, 2024, DirectConnect recorded a "Full Reconveyance" executed by Trina Patterson, claiming DirectConnect was "Trustee under" the deed of trust and purporting to reconvey the Property free of Plaintiff's lien. (Compl., ¶ 22; RJN Ex. 7.) The reconveyance was not authorized by Plaintiff, not executed by the duly appointed trustee (Western Progressive), not supported by satisfaction of the debt, and was false/fraudulent. (Compl., ¶¶ 22-27.)

Thus,

Defendant's demurrer is OVERRULED on this ground.

E. Judicial

Estoppel

The

doctrine of judicial estoppel precludes a party from taking inconsistent positions in separate judicial proceedings. (The Swahn Grp., Inc. v. Segal (2010) 183 Cal. App. 4th 831,

841 (Swahn).) There are “five requirements for the application of judicial estoppel: (1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake.” (Id., at p. 842.)

“[Courts] may decide the issue of judicial estoppel if such facts indicate the doctrine should be applied on demurrer.” (Id., at p. 843.) “[T]he trial court may sustain a demurrer on the ground of judicial estoppel where the facts pleaded and judicially noticed indicate as a matter of law the doctrine should be applied, i.e., that a court has adopted or accepted as true the inconsistent position.” (Id., at p. 844.)

Defendant argues that Plaintiff is judicially estopped from pursuing this action because its material position contradicts positions it successfully asserted in prior actions between the same parties that were dismissed with prejudice. (Demurrer, p. 2.) Defendant contends that Plaintiff acknowledges in paragraphs 28 through 30 of its Complaint that Defendant filed two prior actions concerning the same property and the same loan. (Demurrer, p. 9.) Defendant asserts that both of these actions were dismissed with prejudice upon Plaintiff’s successful demurrer, the later dismissal now being challenged with a Motion to Set Aside Judgment pursuant to Code of Civil Procedure § 663. (Ibid., Requests for Judicial Notice.) Having successfully argued that Defendant’s claims had no merit, Defendant argues that Plaintiff is judicially estopped from now arguing that Defendant’s actions in recording the reconveyance were improper, as these claims were not included in the prior actions. (Ibid.)

Here, Defendant fails to meet the five requirements to establish that Plaintiff is judicially estopped at this stage. Defendant’s demurrer does not clearly set forth the two positions that were taken by Plaintiff, whether Plaintiff was successful in asserting the first position, or whether the two positions are totally inconsistent, which are all required by Swahn. The Court granted Defendant’s request for judicial notice of various rulings in other cases, but Defendant does not reference these cases or rulings by name or case number in the body of his Demurrer. It is not the Court’s duty to go searching without assistance from Defendant.

“Judges are not like pigs, hunting for truffles buried in” the record.
[Citation].” (Albrechtsen v. Bd. of Regents of Univ. of Wisconsin Sys.
(2002) 309 F.3d 433, 436.) Defendant has failed to establish that the facts
pleaded and judicially noticed indicate as a matter of law that the doctrine
should be applied.

Thus,
Defendant’s demurrer is OVERRULED on this ground.

F. Uncertainty

Next, Defendant argues that the Complaint is fatally
uncertain. (Demurrer,
p. 2.)

Demurrers for uncertainty are disfavored because
ambiguities can be clarified through discovery. (Chen
v. Berenjian (2019) 33 Cal.App.5th 811, 822.) The purpose of
California’s pleading standards is not to substitute for discovery, it is “to
acquaint a defendant with the nature, source and extent of [the plaintiff’s]
cause of action.” (Youngman v. Nevada Irrigation District (1969) 70
Cal.2d 240, 245; Doheny Park Terrace Homeowners Assn., Inc. v. Truck
Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099.)

Here, demurrers for uncertainty are
disfavored and the Court finds that the Complaint adequately acquaints
Defendant with the nature, source and extent of the
claims. Defendant’s concern about Plaintiff’s failure to attach or identify the
Pooling and Servicing Agreement that governs the trust for which it sues as
trustee, and what interest Plaintiff claims to hold, are precisely the type of
ambiguities that can be clarified through discovery.

Thus,
Defendant’s demurrer is OVERRULED on this ground.

CONCLUSION

Defendant Mark Prebe’s Demurrer to
the Complaint is OVERRULED.

Moving party to give notice.